For now, we will go back to the list of Financial Return Goals where we had quantified and prioritized each goal and put them in different baskets based on time horizon. We will use these buckets to decide broad asset allocation between different types of assets. We will then use Risk Taking ability to decide Categories to be selected within each Asset Class.

We already saw that we will create a base plan only using a plain vanilla debt and equity allocation. We will introduce other assets in the mix going further. We will mainly be talking about Mutual Funds as Mutual Funds have substitutes for every asset. Different kinds of Mutual Funds are capable to create a Financial Plan for any situation. As a result, we will create a base plan around them and add other assets to the mix later on depending on comfort with Financial Assets.